



Income Tax Department

Ministry of Finance, Government of India

Computation of income from construction and service contracts.

43CB. (1) The profits and gains arising from a construction contract or a contract for providing services shall be determined on the basis of percentage of completion method in accordance with the income computation and disclosure standards notified under sub-section (2) of section 145:

Provided that profits and gains arising from a contract for providing services,—

- (i) with duration of not more than ninety days shall be determined on the basis of project completion method;
 - (ii) involving indeterminate number of acts over a specific period of time shall be determined on the basis of straight line method.
- (2) For the purposes of percentage of completion method, project completion method or straight line method referred to in sub-section (1)—
- (i) the contract revenue shall include retention money;
 - (ii) the contract costs shall not be reduced by any incidental income in the nature of interest, dividends or capital gains.

